

[Policy Statement](#)

[Scope](#)

[Applicability](#)

[Exclusions/Exceptions](#)

[Authorizations](#)

[Initial Recognition and Measurement](#)

[Subsequent Measurement](#)

[Derecognition](#)

[Financial Statement Line Items Affected](#)

[Related Documents, Tools, and Templates](#)

[Definitions](#)

[Roles and Responsibilities](#)

POLICY NUMBER: FP-FIN-026

GUARANTEES

ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding potential obligations arising from contractual provisions of guarantees in order to align Hilton Worldwide Holdings Inc.'s ("Hilton's") accounting methodology with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standards Codification ("ASC").

POLICY STATEMENT

As part of negotiating a management agreement (“MA”) or franchise agreement (“FA”) with a hotel or resort owner, Hilton may incentivize the owner to enter into the agreement by providing various guarantees. Guarantees take many different forms (e.g., performance guarantees, debt guarantees, or tax indemnities) and can be based on a number of different scenarios. In the event the guarantee is triggered, Hilton is contractually obligated to make a cash payment to the owner or to another third party on the owner’s behalf.

SCOPE

A guarantee contractually requires Hilton to make a payment or provide value to the owner to remedy a contractual default. The value provided could be in the form of a loan to the owner instead of a cash payment (refer to **FP-FIN-010—Financing Receivable Accounting Policy** for details regarding the accounting for loans given to owners). This is different from a cure payment in that a cure payment can be made at Hilton’s discretion (refer to **FP-FIN-003—Contract Acquisition Cost Accounting Policy** for details regarding cure payments).

For example, Hilton enters into a MA with an owner to provide management services for a property. Included within the MA is a minimum guarantee that the hotel will produce Adjusted Gross Operating Profit (“AGOP”) of \$4.0 million. If this level of AGOP is not met, Hilton is contractually required to make a payment to the owner for any shortfall between the hotel’s actual AGOP and the \$4.0 million guarantee.

APPLICABILITY

This policy applies to all Finance personnel, as well as Development, and Legal.

EXCLUSIONS/ EXCEPTIONS

None

AUTHORIZATIONS

Required Consultations with Technical Accounting (“TA”)

Process owners should ensure they are following the latest consultation requirements via the management or franchise license agreement checklist (as required). Refer to Hilton’s **FP-FIN-400—Global Deal Approval Policy** for other required communication with TA.

INITIAL RECOGNITION AND MEASUREMENT

When it is determined that a contract contains a guarantee as defined in this policy, the guarantee must first be evaluated to determine whether it is a financial guarantee or contains a contingent loan commitment. If a guarantee is a financial guarantee (e.g., a financial standby letter of credit) or contains a contingent loan commitment, the noncontingent component (i.e., Hilton’s obligation to stand-ready to perform), is valued at fair value and the contingent component (i.e., Hilton’s obligation to make future payments if a triggering event or condition occurs) is valued in accordance with **FP-FIN-010 – Financing Receivable Accounting Policy**. If a guarantee is not a financial guarantee and does not contain a contingent loan commitment, the guarantee is valued at fair value.¹ The valuation of a guarantee is done at the inception of the guarantee.

Inception typically coincides with hotel or resort opening for performance guarantees but could occur prior to opening for other types of guarantees which expose Hilton to risk of loss prior to opening (e.g., a debt guarantee).² Hilton uses an expected present value technique in order to initially determine the fair value of the guarantee. The expected present value technique utilizes the expected cash to be paid out, or value to be provided, under the guarantee in various potential scenarios and then probability weights those expected cashflows based on the likelihood of occurrence.³

Hilton must also assess whether the guarantee represents a loss contingency that is probable and reasonably estimable. If Hilton determines the guarantee represents a loss contingency, Hilton will use the greater of the fair value of the guarantee or the loss contingency amount, to determine whether a material guarantee liability needs to be recorded at inception of the

¹ ASC 460-10-25-2, *Guarantees, Overall, Recognition*

² ASC 460-10-30-2, *Guarantees, Overall, Initial Measurement*

³ ASC 820-10-55-13, *Fair Value Measurement, Overall, Implementation Guidance and Illustrations*

guarantee.⁴ If there is a range of forecasts when determining the loss contingency amount, Hilton will use the lower end of the range for the loss contingency amount.⁵ Refer to **FP-FIN-013—Commitments and Contingencies, Risks and Uncertainties Policy** for guidance on determining and estimating a loss contingency.

Guarantees which require any payments made by Hilton under the guarantee to be repaid within a specified time period may be deemed a loan. All guarantees which could result in Hilton providing a loan to an owner require additional consideration. Refer to **FP-FIN-010—Financing Receivable Accounting Policy** for further guidance.

Illustration I – Expected Present Value Technique Amount Greater (Performance Guarantee)

Facts:

ABC Company (“ABC”) entered into a 10-year MA with a hotel owner in order to provide management services for a new hotel. ABC guaranteed the owner the hotel’s annual AGOP would be at least \$4.0 million beginning in the third operating year through the term of the MA. ABC is contractually required to make a payment to the owner for any shortfall between the actual AGOP of the hotel and the \$4.0 million threshold for any given operating year beginning with the third operating year. Additionally, the maximum aggregate guaranteed amount by ABC over the term of the MA is \$3.0 million.

Upon hotel opening, ABC noted there was a low likelihood the full \$3.0 million guarantee would be paid out over the term of the MA but that some portion of the guarantee would be paid out. Based on ABC’s internal assessment at the opening of the hotel, using the expected present value technique, it determined the guarantee had a fair value of \$2.0 million. Further, ABC determined it was probable and reasonably estimable it would have a loss contingency of \$1.5 million over the term of the MA.

Analysis:

In order to determine the initial guarantee liability to record upon hotel opening, ABC should compare the amount calculated under the expected present value technique to the amount it determined was probable and reasonably estimable and record a guarantee liability equal to the greater of the two amounts.

Conclusion:

ABC will record a guarantee liability of \$2.0 million upon the opening of the hotel as the fair value of the guarantee liability is greater than the amount that is probable and reasonably estimable to be paid over the term of the MA.

Illustration II – Loss Contingency Amount Greater (Performance Guarantee)

Facts:

Assume the same facts in Illustration I but that upon hotel opening, ABC noted there was a high likelihood the full \$3.0 million guarantee would be paid out over the term of the MA and that there is a low likelihood no payments would be made throughout the term of the MA. Based on ABC’s internal assessment at the opening of the hotel, using the expected present value technique, it determined the guarantee had a fair value of \$2.5 million. Further, ABC determined it was probable and reasonably estimable it would have a loss contingency of \$3.0 million over the term of the MA.

Analysis:

In order to determine the initial guarantee liability to record upon hotel opening, ABC should compare the amount calculated under the expected present value technique to the amount it determined was probable and reasonably estimable and record a guarantee liability at the greater of the two amounts.

Conclusion:

ABC will record a guarantee liability of \$3.0 million upon the opening of the hotel as the amount that is probable and reasonably estimable to be paid over the term of the MA is greater than the fair value of the guarantee liability.

⁴ ASC 460-10-30-3, *Guarantees, Overall, Initial Measurement*

⁵ ASC 450-20-30-1, *Contingencies, Loss Contingencies, Initial Measurement*

Illustration III – Expected Present Value Technique Amount Greater (Debt Guarantee)

Facts:

ABC Company (“ABC”) entered into a 10-year MA with a hotel owner in order to provide management services for a new hotel. As part of the MA, ABC guaranteed to pay the principal and interest (i.e., the debt service costs) to the owner’s lender on the owner’s \$40.0 million loan should the owner fail to make a payment. The loan was provided to the owner prior to the opening of the hotel. Upon inception of the guarantee (i.e., when the loan was provided to the owner), ABC noted there was a low likelihood that the future profitability of the hotel alone would be insufficient to cover the debt service costs of the loan. Based on ABC’s internal assessment using the expected present value technique, it determined the guarantee had a fair value of \$1.0 million. Further, ABC determined it was not probable and reasonably estimable that it would have a loss contingency over the term of the MA.

Analysis:

In order to determine the initial guarantee to record upon the issuance of the loan, ABC should compare the amount calculated under the expected present value technique to the amount it determined was probable and reasonably estimable and record a guarantee liability at the greater of the two amounts.

Conclusion:

ABC will record a guarantee liability of \$1.0 million upon the inception of the guarantee as the fair value of the guarantee liability is greater than the amount that is probable and reasonably estimable to be paid over the term of the MA.

When evaluating the offsetting entry to the initial guarantee liability, consideration is given to the nature of the contract and to whether the MA or FA provides sufficient value to support the capitalization of a contract acquisition cost (“CAC”).⁶ Refer to **FP-FIN-003—Contract Acquisition Cost Accounting Policy** for details.

SUBSEQUENT MEASUREMENT

For guarantees that are either a financial guarantee (i.e., debt guarantee) or that contain a contingent loan commitment (i.e., letter of credit or performance guarantee that is required to be repaid), refer to **FP-FIN-010 – Financing Receivable Accounting Policy** for guidance regarding the subsequent measurement of the contingent component of the guarantee.

For the noncontingent component, depending on the nature of the guarantee, Hilton will relieve the guarantee liability over the term of the guarantee using one of three methods:

- Upon expiration or settlement of the liability.
- By a systematic and documented amortization methodology.
- As the fair value of the guarantee changes (only applicable for guarantees accounted for as derivatives).

Generally, Hilton will measure the change in the guarantee liability using a systematic and documented amortization methodology. The change in the guarantee liability is amortized by applying the effective interest method using the interest rate applied in the initial liability determination. Refer to **FP-FIN-022—Debt Accounting Policy** for discussion of the effective interest method. If the guarantee is a financial guarantee or contains a contingent loan commitment, any difference between the amortization of the guarantee liability and the actual losses paid or accrued each period are recorded as ‘Other non-operating income (loss), net’ in the Consolidated Statement of Operations. If the guarantee is not a financial guarantee and does not contain a contingent loan commitment, any difference between the systematic amortization method and the actual losses paid or accrued each period is recorded as ‘Other revenues’ in the Consolidated Statement of Operations when amortization of the guarantee liability is greater than actual losses for the period or ‘Other expenses’ in the Consolidated Statement of Operations when actual losses for the period are greater than amortization of the guarantee liability.

If it is probable and reasonably estimable that Hilton’s guarantee liability under the contract is materially greater than the current carrying value of the guarantee liability, Hilton will increase the recorded amount of the guarantee liability and recognize additional expense. If there is a range of forecasts, Hilton will use the lowest amount within the range that is probable of occurring for the reasonably estimable amount.⁷ This includes monitoring certain guarantees in which no initial value was assigned.

⁶ ASC 460-10-25-4, *Guarantees, Overall, Recognition*

⁷ ASC 450-20-30-1, *Contingencies, Loss Contingencies, Initial Measurement*

Illustration IV – Increase in the Guarantee Liability (Performance Guarantee)

Facts:

Assume the same facts in Illustration I, but now it is the third year of operations for the hotel. In the middle of the third year of operations of the hotel, ABC determines their initial estimate of the guarantee liability amount that was probable and reasonably estimable of \$1.5 million increased to \$2.5 million due to poorer than expected performance of the hotel. At the beginning of the third operating year, the carrying value of the guarantee was \$2.0 million.

Analysis:

Upon ABC determining it was probable and reasonably estimable that it would have to pay \$2.5 million over the remaining term of the MA, ABC will compare that amount to the current \$2.0 million carrying value of the guarantee liability to determine whether it needs to record an increase in its guarantee liability.

Conclusion:

ABC will record a \$0.5 million increase in the guarantee liability with an offset recognized as an expense upon determining it is probable and reasonably estimable \$2.5 million will be paid over the remaining term of the MA as this amount is greater than the current carrying value of the guarantee liability.

Any increases in the guarantee liability are recorded as 'Other non-operating income (loss), net' for a financial guarantee or guarantee with a contingent loan commitment or 'Other expenses' for other guarantees within the Consolidated Statement of Operations.

DERECOGNITION

A guarantee liability is derecognized when the term of the guarantee has expired or the cumulative guarantee payments equal the maximum guaranteed amount.⁸

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy. For all transactions that require a consultation with TA, please defer to the guidance provided by TA regarding the appropriate financial statement line items affected by the transaction.

Transaction	Affected		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section
Initial recognition for the accrual of a guarantee in which the MA or FA provides sufficient value to support CAC (see FP-FIN-003 Contract Acquisition Cost Accounting Policy)	- Other long-term liabilities and/or Accounts payable, accrued expenses and other (credit) - Management and franchise contracts, net (debit)	- N/A	- Operating Activities (reconciling item to net income)
Increase in the accrual for a guarantee	- Other long-term liabilities and/or Accounts payable, accrued expenses and other (credit)	- Other non-operating income (loss), net (debit) or Other expenses (debit)	- Operating Activities (reconciling item to net income)
Accretion of a guarantee liability	- Other long-term liabilities and/or Accounts payable, accrued expenses and other (credit)	- Interest expense (debit)	- Operating Activities (reconciling item to net income)

⁸ ASC 405-20-40-1, *Liabilities, Extinguishment of Liabilities, Derecognition*

GUARANTEES ACCOUNTING POLICY

Payment of a guarantee that is a financial guarantee or a contingent loan commitment	- Other long-term liabilities (debit) - Other current assets and/or Other non-current assets (debit) - Cash and cash equivalents (credit)	- Other non-operating income (loss), net	- Operating Activities (reconciling item to net income) and/or Investing Activities
Payment of a guarantee that is not a financial guarantee and does not contain a contingent loan commitment	- Other long-term liabilities (debit) and/or Cash and cash equivalents (credit)	- Other expenses (debit) or Other revenues (credit)	- Operating Activities (reconciling item to net income)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-003 – Contract Acquisition Cost Accounting Policy](#)
[FP-FIN-010—Financing Receivable Accounting Policy](#)
[FP-FIN-013 – Commitments and Contingencies, Risks and Uncertainties Accounting Policy](#)
[FP-FIN-022—Debt Accounting Policy](#)
[FP-FIN-400—Global Deal Approval Policy](#)

TERM/ACRONYM	DEFINITION
Contract Acquisition Cost (“CAC”)	Capitalized amounts incurred to obtain a new or extend an existing contract (e.g., MA or FA) with a customer. This is the overarching term that encompasses cash key money, maintenance payments, and other capitalized costs incurred in pursuit of acquiring contracts.
Contingency	An existing condition, situation, or set of circumstances involving uncertainty as to possible gain (gain contingency) or loss (loss contingency) to an entity that will ultimately be resolved when one or more future events occur or fail to occur.
Contingent Loan Commitment	A contract provision that stipulates Hilton provide a loan to an owner when specified events do or not occur, such as when a minimum level of hotel operating performance for a period of time is not achieved.
Cure Payment	Any optional payment made at Hilton’s discretion to cure an act of default. Within the context of this policy, cure payments occur when Hilton has missed the contractual performance test within an MA. Typically, the amount is determined by the difference between the hotel’s operating performance and the performance target.
Debt Guarantee	A contract provision in which Hilton agrees to guarantee a portion or all of a third party’s debt to a lender. Under the guarantee, Hilton is contractually required to make a payment to the lender should the third-party default on their loan.

Financial Standby Letter of Credit	An irrevocable undertaking (typically by a financial institution) to guarantee payment of a specified financial obligation.
Guarantee	A contract provision that contractually requires Hilton to make a payment to a third party upon the occurrence of an event that is outside the control of Hilton.
Performance Guarantee	A contract provision that stipulates a minimum level of hotel operating performance for a period of time and contractually requires Hilton to fund any shortfalls below the minimum level to the owner. This is different from cure payments in that cure payments can be made at Hilton's discretion.
Tax Indemnity	A contract provision that contractually requires Hilton to make a payment to the owner or to another third party on the owner's behalf based on the imposition of additional taxes due to either a change in the tax law or an adverse interpretation of the tax law.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
Technical_Accounting@hilton.com	The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed email.